

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

**SEAFAIR USA LLC
COMPLAINANT
V.
STERLING CONTAINER LINE LIMITED AND ATLANTIC FORWARDING LTD.
RESPONDENTS**

OPENING BRIEF OF SEAFAIR USA LLC

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Nippon Yusen Kaisha v. FIL Lines USA Inc., 977 F. Supp. 2d 343, 349 (S.D.N.Y. 2013).

Fireman's Fund McMgee Marine v. M/V CAROLINE, No. 02 Civ. 6188 (DC), 2004 WL 287663 (S.D.N.Y. Feb. 11, 2004).

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I. INTRODUCTION

The material facts of this case are not susceptible to any genuine and good faith dispute. Sterling and Atlantic (collectively “Respondents”) contracted with SeaFair to provide destination freight services in connection with the bills of lading attached as **Appendices 11-13**.

SeaFair carried out its duties in good faith and on reasonable reliance of compensation. In providing these services, pursuant to the agreement between the parties as evidenced by the course of dealing between the parties, SeaFair charged Respondents \$55 per bill of lading for turning over the documents to the vessel operating carrier, to the consignees in the United States and other third-party logistics providers. Respondents have not paid document turnover fees for about 262 shipments for a total of \$14,420.00.

SeaFair was also charged by the vessel operating carrier for charges such as “congestion surcharge,” “import detention,” “container facility charge,” “chassis usage charge,” and “rail detention.” Pursuant to its agreement with Respondents, SeaFair invoiced these charges to the Consignees on Sterling’s bills of lading. The Consignees refused to pay. SeaFair, pursuant to the indemnity clause in its Terms and Conditions of Service, then invoiced these charges to Respondents. Respondents have continuously refused to pay.

A. Procedural History

SeaFair filed its Verified Initial Complaint against Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic”) (collectively the “Respondents”) on December 15, 2022 [Dkt. 1]. The Initial Complaint alleged various violations of the Shipping Act, including violations of 46 U.S.C. § 41102(a) – obtaining or attempting to obtain ocean transportation for property at less than the charges that would otherwise apply –; 46 U.S.C. §

41104(a)(4)(A) – engaging in unfair practices in the matter of charges while providing services pursuant to a tariff as a common carrier –; 46 U.S.C. § 41104(a)(2)(A) – providing service in the liner trade as a common carrier that is not in accordance with its published tariff –; and 46 U.S.C. § 41102(c) – failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

On December 26, 2022, Respondents filed their Verified Answer and Defenses to the Initial Complaint [Dkt. 2].

Through multiple extensions, the Scheduling Order as amended established that the discovery period was to end on June 11, 2023, [Dkt. 16] and that SeaFair’s brief, proposed findings of fact and appendices are to be filed on July 28, 2023. [Dkt. 23]. SeaFair now submits its brief, including proposed findings of fact, and the appendices pursuant to the Scheduling Order, as amended.

II. SEAFAIR PROPOSED FINDINGS OF FACT

SF PFF 1. SeaFair is a Florida limited liability company with its principal place of business at 3740 West 104th Street, Suite 16, Hialeah Gardens, FL 33018.

SF PFF 2. Sterling is a company organized under the laws of Hong Kong with its principal place of business at Flat/Rm 722, 7/F, Metroplaza, Tower 2, 223 Hing Fong Road, Kwai Fong, N.T., Hong Kong.

SF PFF 3. Sterling is a foreign Non-Vessel-Operating Common Carrier (“NVOCC”) registered with the Federal Maritime Commission (“FMC”) under no. 016481. The bond is held by United States Fire Insurance Company (“USFIC”).

SF PFF 4. Atlantic is a company organized under the laws of Switzerland with its principal place of business at Grosspeteranlage 29, 4052 Basel, Switzerland. Atlantic is an ocean transportation intermediary; it is not registered with FMC.

SF PFF 5. Sterling is a subsidiary of Atlantic Airfreight Systems Ltd. Hongkong and Atlantic Forwarding (China) Limited, which are subsidiaries of Atlantic Speditions AG Switzerland. See *Respondent Sterling Container Line Limited's Verified Response to Complainant's Second Set of Interrogatories, No. 2*. **Appendix 1** at SFOB-APP-01-0003.

SF PFF 6. Mediterranean Shipping Company S.A. ("MSC"), one of the world's largest vessel operating common carriers ("VOCC"), through its fully owned subsidiaries, it owns 96% of Atlantic's shares. See **Appendix 2** at SFOB-APP-02-0001.

SF PFF 7. Beginning in May 2021, Respondents engaged SeaFair to act as their destination agent and to handle document turnover in the United States for shipments carried under Sterling's house bills of lading ("HBLs").

SF PFF 8. These HBLs were issued by various branch offices of Atlantic who were acting as agents of Sterling.

SF PFF 9. Pursuant to the agreement between Respondents and SeaFair, SeaFair's compensation for the document turnover service is \$55 per bill of lading. The existence of the agreement is evidenced by Respondents being billed and paying the document turnover fees for shipments not subject to this lawsuit.

SF PFF 10. For destination services, pursuant to the agreement between Respondents and SeaFair, SeaFair collected and/or attempted to collect payment for the charges related to

steamship lines, associated terminals, and other logistics companies on behalf of Sterling and its shipping agent, Atlantic, plus the bank fees SeaFair incurred in remitting the collected charges to the steamship lines, terminals and/or logistics companies (which are termed “Carrier Processing Charge/Fee” or “CPC”).

SF PFF 11. On March 1, 2022, SeaFair filed a claim with Sterling’s bondholder, USFIC, for \$138,422.00, which represented the outstanding balance of \$137,632.00 owed to SeaFair plus \$790.00 in attorney’s fees (the attorney fees incurred as of that date) (the “First Claim”). See the claim letter attached as **Appendix 3**.

SF PFF 12. After negotiations spanning the course of several months, and despite partial payment made to SeaFair by Atlantic, SeaFair and Respondents were unable to reach a settlement. The amount still outstanding under the First Claim is \$8,920.00 plus attorney’s fees that continue to accrue. See the table attached as **Appendix 4** which was Exhibit 2 to the Complaint. The unpaid invoices are attached as **Appendix 5**. The correspondence identifying the unpaid invoice is attached as **Appendices 6 - 7**. The unpaid amount represents unpaid document turnover fees for 162 shipments.

SF PFF 13. While SeaFair and Respondents discussed the First Claim, other invoices for an additional \$321,533.52 in destination charges (which include the charges from steamship lines, associated terminal and other logistics companies and the CPC charges) and \$5,500.00 in document turnover fees remained unpaid.

SF PFF 14. SeaFair demanded payment for these new charges together with payment for the First Claim in correspondence with Respondents sent on August 03, 2022. See **Appendix 6**.

SF PFF 15. In their response to the August 03, 2022, letter, Respondents stated they would address the new demand for \$327,033.52 separately and only addressed issues pertaining to the First Claim. See **Appendix 7** at SFOB-APP-07-0001.

SF PFF 16. Therefore, on October 14, 2022, SeaFair presented a second claim letter to USFIC pursuant to 46 CFR § 515.23(b) in the amount of \$327,033.52 (the “Second Claim”). See **Appendix 8**.

SF PFF 17. As of the date of filing this Brief, the unpaid destination charge is \$294,283.88, while the unpaid CPC charges are \$18,090.00.

SF PFF 18. The unpaid destination charge in the amount of \$294,283.88 is the amount owed to MSC. MSC’s statement of account is attached as **Appendix 9**. The spreadsheets attached to MSC’s statement of account are attached as **Appendices 9.1-9.5**.

SF PFF 19. The underlying MSC invoices are attached as **Appendix 10**.

SF PFF 20. MSC’s statement of account shows the amount owed for master bills of lading listed in **Appendix 11** which was Exhibit 2 to *SeaFair’s First Request for Admission*. A selection of the MBLs that have been produced in the discovery process are attached as **Appendix 12**.

SF PFF 21. The HBLs corresponding to the MBLs listed in **Appendix 11** issued by Sterling are attached as **Appendix 13**.

SF PFF 22. Respondents refuse to verify the authenticity of the master bills of lading by MBL numbers. See *SeaFair’s First Request for Admission* attached as **Appendix 14** and *Respondents’ Response to Request for Admission, No 6*. Attached as **Appendix 15** at SFOB-APP-15-0005 and SFOB-APP-15-0014.

SF PFF 23. On these MBLs, the shipper is identified as “Atlantic Forwarding (China) Co., Ltd (various branches) as Agent of Sterling Container Line Limited” and the consignee is identified as “SeaFair LLC as Agent of Sterling Container Line Limited.” See Appendix 12.

SF PFF 24. Respondents refuse to verify the authenticity of the house bills of lading by HBL numbers. See SeaFair’s First Request for Admission attached as **Appendix 14** and *Respondents’ Response to Request for Admission, No 1.* Attached as **Appendix 15** at SFOB-APP-15-0002, SFOB-APP-15-0011.

SF PFF 25. However, Respondents admitted that Sterling’s house bills of lading typically contain the three identifying letters “SCL.” See Respondents’ Response to Request for Admission, No 1. **Appendix 15** at SFOB-APP-15-0002 and SFOB-APP-15-0011.

SF PFF 26. All bill of lading numbers on the bills attached as **Appendix 13** contain the three identifying letters “SCL.”

SF PFF 27. All bills of lading attached as **Appendix 13** indicate Sterling as the Carrier.

SF PFF 28. All bills of lading attached as **Appendix 13** indicate SeaFair as the destination agent.

SF PFF 29. MSC’s bill of lading terms and conditions are attached as **Appendix 16.**

SF PFF 30. In the relevant part, MSC’s bill of lading terms and conditions provide the following:

Merchant: includes the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods or of this Sea Waybill or anyone acting on behalf of this Person.

Freight: includes the freight and all charges, costs and expenses whatsoever payable to the Carrier in accordance with the applicable Tariff and this Sea Waybill, including storage, per diem and demurrage.

16.1 Freight has been calculated on the basis of the Shipper's particulars and if such particulars are found to be erroneous and additional Freight is payable, the Merchant shall be liable therefor and also for any expense thereby incurred.

16.2 All Freight is earned and due upon receipt of the Goods by the Carrier, whether the Freight is prepaid or collect and the Carrier shall be entitled to all Freight due under all circumstances, ship and/or cargo lost or not lost or the voyage abandoned. All Freight shall be paid when due without any set-off, counter claim, or deduction.

16.3 Every Person defined as "Merchant" in clause 1 shall be jointly and severally liable to the Carrier for the payment of all Freight and charges and for the performance of the obligations of each of them hereunder. Any Person engaged by the Merchant to perform forwarding services with respect to the Goods shall be considered to be exclusively the Merchant's agent for all purposes, and any payment of Freight to such Person shall not be considered payment to the Carrier in any event whatsoever. Failure of such third parties to pay any part of the Freight to the Carrier shall be considered a default by the Merchant in the payment of Freight.

SF PFF 31. Sterling's bill of lading terms and conditions are attached as **Appendix 17**.

SF PFF 32. In the relevant part, Sterling's bill of lading terms and conditions provide the following:

"Merchant' includes the Shipper, Consignee, holder of this Bill of Lading, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods or of this Bill of Lading or anyone acting on behalf of this Person." (Paragraph 1)

"Every Person defined as 'Merchant' in clause 1 shall be jointly and severally liable to the carrier for the payment of all Freight and charges and for the performance of the obligations of each of them hereunder. Any Person engaged by the Merchant to perform forwarding services with respect to the Goods shall be considered to be exclusively the Merchant's agent for all purposes, and any payment of Freight to such Person shall not be considered payment to the Carrier in any event whatsoever. Failure of such third parties to pay any part of the Freight to the Carrier shall be considered a default by the Merchant in the payment of Freight." (Paragraph 17.3)

SF PFF 33. Sterling's FMC Tariffs also contain two rules, effective as of June 14, 2014. These rules are titled "Carrier Terminal Rules And Charges" and "Use of Carrier Equipment." See **Appendix 18**.

SF PFF 34. Both rules read, in relevant part,

Carrier does not operate terminals at origin or destination. Except as otherwise provided in tariff rate items, all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges, whose vessel will be clearly identified on bills of lading.

Carrier does not own or lease equipment. When equipment is provided to shippers and/or consignees by Vessel Operating Common Carriers (VOCCs) the VOCC, either directly or via the carrier, provisions as published by the VOCC in its FMC tariff, including detention charges, will be for the account of the cargo.

SF PFF 35. In connection with the master bills of lading listed in **Appendix 11**, SeaFair received invoices from MSC, the carrier, attached as **Appendix 10**.

SF PFF 36. All invoices in **Appendix 10** list charges associated with destination charges (including equipment charges) and are invoiced to SeaFair.

SF PFF 37. All destination charges invoiced in **Appendix 10** are labeled as "congestion surcharge," "import detention," "container facility charge," "chassis usage charge," and "rail detention," etc.

SF PFF 38. After receiving the invoices from MSC attached as **Appendix 10**, SeaFair provided the invoices attached as **Appendix 19** to the consignees on the bills of lading in **Appendix 13**.

SF PFF 39. When the consignees refused to pay the invoices attached as **Appendix 19**, SeaFair, pursuant to the indemnity clause Terms and Conditions of Service, issued or turned the invoices attached as **Appendix 20** to Respondents.

SF PFF 40. SeaFair conducts its business under its terms and conditions of service which is available at

https://www.seafairgroup.com/wp-content/uploads/2021/05/usa_ffw_terms_and_conditions.pdf.

A copy of the terms and conditions is attached as **Appendix 21**.

SF PFF 41. Communications from SeaFair are generally signed with a line that reads as follows: “All SeaFair USA LLC business is governed by our terms and conditions of service which can be accessed using the following link...” An example of this notice can be seen on email chains provided to SeaFair as Respondent’s Exhibit 13 to their first document production, attached here as **Appendix 22** at SFOB-APP-22-0002.

SF PFF 42. SeaFair’s Terms and Conditions of Service read, in relevant part, as follows:

These terms and conditions of service constitute a legally binding contract between the “Company” and the “Customer”.

1. Definitions

(a) “Company” shall mean SEAFAIR USA, LLC, its subsidiaries, related companies, agents, and/or representatives.

(b) “Customer” shall mean the person for which the Company is rendering service, as well as its agents and/or representatives, including, but not limited to... consignees.

2. Company as Agent

The Company acts as the “agent” of the Customer for the purpose of performing duties in connection with the entry and release of goods, post entry services, the securing of export licenses, the filing of export documentation on behalf of the Customer and other dealings with Government Agencies...

11. Indemnification/Hold Harmless

The Customer agrees to indemnify, defend, and hold the Company harmless from any claims and/or liability ... arising from the importation or exportation of customers merchandise ... and further agrees to indemnify and hold the Company harmless against any and all liability, loss, damages, costs, claims, penalties, fines and/or expenses, including but not limited to reasonable attorney’s fees, which the Company may hereafter incur, suffer or be required to pay by reason of such claims; in the event that any claim, suit or proceeding is brought against the Company, it shall give notice in writing to the Customer by mail at its address on file with the Company.

12. C.O.D. Cash Collect Shipments

Company shall use reasonable care regarding written instructions related to “Cash/Collect” on “Deliver (COD.)” shipments, bank drafts, cashier’s and/or certified checks, letter(s) of credit and other similar payment documents and/or instructions regarding collection of monies but shall have not liability if the bank or consignee refuses to pay for the shipment.

13. Costs of Collection. In any dispute involving monies owed to Company, the Company shall be entitled to all costs of collection, including reasonable attorney’s fees and interest at 15% per annum or the highest rate allowed by law, whichever is less, unless a lower amount is agreed to by Company.

SF PFF 43. Respondents refused to pay the destination charges.

SF PFF 44. Respondents have not billed or collected from the shippers or consignees identified on its house bills of lading. See Respondents’ Response to SeaFair’s First Interrogatories, No 7. Attached as **Appendix 23** at SFOB-APP-23-0004-5 and SFOB-APP-23-0012-13.

SF PFF 45. Respondents deny that shippers and consignees under the house bills are liable to Sterling for destination charges under the Terms and Conditions. See Respondents’ Responses to

Request for Admission, No 3., Appendix 15 at SFOB-APP-15-0003-4 and SFOB-APP-15-0012-13.

SF PFF 46. Respondents claim that SeaFair was responsible for the MSC charges because SeaFair acted as the agent for Respondents' customers who are defined as "merchants" under the terms and conditions of Sterling's house bills of lading. **Appendix 24** at SFOB-APP-24-0005-6.

Their claim reads, in relevant part:

...the billing and collection of any local charges contracted and owed to SeaFair are the responsibility of SeaFair. Under Respondents' terms and conditions for its bills of lading, every Person defined as a "Merchant" "shall be jointly and severally liable to the Carrier for the payment of all Freight and charges and for the performance of the obligations of each of them hereunder. Any Person engaged by the Merchant to perform forwarding services with respect to the Goods shall be considered to be exclusively the Merchant's agent for all purposes, and any payment of Freight to such Person shall not be considered payment to the Carrier in any event whatsoever. Failure of such third parties to pay any part of the Freight to the Carrier shall be considered a default by the Merchant in the payment of Freight."

III. ARGUMENTS

A. Respondents are Obligated to Pay SeaFair Document Turnover Fees

Pursuant to the agreement evidenced by course of dealing between SeaFair and the Respondents, Respondents are obligated to pay SeaFair \$55 document turnover fees per bill of lading. The unpaid document turnover fees are \$14,420.00 as evidenced by **Appendices 4-7** for \$8,920.00 and **Appendix 8** at SFOB-APP-08-0051 - 0053 for \$5,500.00.

B. SeaFair is not responsible for the MSC charges

SeaFair is not a merchant under MSC's master bills of lading which gave rise to the MSC invoices attached as **Appendix 10**. MSC's bill of lading terms and conditions define merchant to include "the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any

Person owning, entitled to or claiming the possession of the Goods or of this Sea Waybill or anyone acting on behalf of this Person.” SeaFair is not the shipper or the consignee. On those bills of lading, the shipper is “(Atlantic Forwarding’s various branch offices) as agent of Sterling Container Line Limited” and the consignee is “SeaFair LLC as agent of Sterling Container Line Limited.” See Appendix 12. Therefore, Sterling is both the Shipper and Consignee. SeaFair is merely the agent of Sterling and is unambiguously listed as agent for Sterling in the consignee box. Sterling is solely responsible for paying MSC charges under MSC’s bill of lading terms and conditions. SeaFair is an agent of the disclosed principal, therefore not liable to MSC for any charges.

"Under federal common law, 'contracts for carriage of goods by sea must be construed like any other contracts: by their terms and consistent with the intent of the parties.' " and standard principals of agency are applied. Norfolk S. Ry. Co. v. Kirby, 543 U.S. 14, 31(2004). "When a contract is a maritime one, and the dispute is not inherently local, federal law controls the contract interpretation." Id. at 22-23 (2004).

Such is the case here, as the transaction at issue involved international shipment of goods by sea. See, e.g., Nippon Yusen Kaisha v. FIL Lines USA Inc., 977 F. Supp. 2d 343, 349 (S.D.N.Y. 2013). Common law principles of agency also apply. See Fireman's Fund McMgee Marine v. M/V CAROLINE, No. 02 Civ. 6188 (DC), 2004 WL 287663, at *2 (S.D.N.Y. Feb. 11, 2004). At common law, if an agent acts on behalf of its disclosed principal, then the agent is not itself a party to the contract and is not liable for claims arising out of it. See Seguros Banvenez, S.A. v. S/S Oliver Drescher, 761 F.2d 855, 860 (2d Cir. 1985) (citing Restatement (Second) of Agency §§ 320, 328). As agent to a disclosed principal, SeaFair cannot be a party to nor bound by MSC’s Bill of Lading contracts with the actual Merchant - Sterling.

Through its subsidiaries, MSC holds 96% of Atlantic and Sterling's shares. MSC is not willing to change its invoices to Sterling, even though the evidence demonstrates that Sterling is solely responsible for the charges, and after SeaFair's repeated request to change the invoices to Sterling and Atlantic. SeaFair was not a shipper, consignee, nor a person having a beneficial interest in the cargo and did not have direct contractual relationship with MSC related to these MBLs. Therefore, MSC's invoicing and making demands on SeaFair could violate the Shipping Act. See Ocean Network Express (north America), Inc. and Ocean Network Express, Pte., Ltd. - Possible Violations of 46 U.S.C. S 41102(c), 2022 WL 17811691, at *3 (FMC) (Ocean Network Express, Pte., Ltd. is to cease and desist from invoicing or making any form or written or oral demand for monies owed under Bill of Lading or tariff for freight and/or charges to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom carrier has a direct contractual relationship).

C. SeaFair is Entitled to Indemnification Against MSC's Charges Under Its Terms and Conditions of Service

Terms and conditions that are conspicuously attached to an email via hyperlink are enforceable. See Home Source Indus., LLC v. Freightquote.com, Inc., No. CIV.A. 14-2001 SRC, 2014 WL 6609051, at *1 (D.N.J. Nov. 19, 2014). In Home Source, the plaintiff challenged the enforceability of terms and conditions that were attached to an email via hyperlink. The court found that the line that read "view our terms & conditions" with "terms & conditions" underlined, indicating a hyperlink, was sufficient to incorporate the terms by reference. Id. As such, they were binding on the matter in question. Id.

Here, SeaFair's Terms and Conditions are similarly attached to the email by hyperlink.

See **Appendix 22** at SFOB-APP-22-0002. The relevant part of the email reads as follows:

All SeaFair USA LLC business is governed by our terms and conditions of service which can be accessed using the following link: SeaFair USA Terms and Conditions

Consequently, Respondents were fully on notice, and had access to SeaFair's Terms and Conditions of Service, as they had numerous emails with SeaFair. By contracting with SeaFair, Respondents knowingly and willingly accepted SeaFair's Terms and Conditions of Service. Therefore, SeaFair's Terms and Conditions of Service are enforceable in this matter.

The relevant part of SeaFair's Terms and Conditions provide the following:

11. Indemnification/Hold Harmless. The Customer agrees to indemnify, defend, and hold the Company harmless from any claims and/or liability, fines, penalties and/or attorneys' fees arising from the importation or exportation of customers merchandise and/or any conduct of the Customer, including but not limited to the inaccuracy of entry, export or security data supplied by Customer or its agent or representative, which violates any Federal, State and/or other laws, and further agrees to indemnify and hold the Company harmless against any and all liability, loss, damages, costs, claims, penalties, fines and/or expenses, including but not limited to reasonable attorney's fees, which the Company may hereafter incur; suffer or be required to pay by reason of such claims; in the event that any claim, suit or proceeding is brought against the Company, it shall give notice in writing to the Customer by mail at its address on file with the Company.

13. Costs of Collection. In any dispute involving monies owed to Company, the Company shall be entitled to all costs of collection, including reasonable attorney's fees and interest at 15% per annum or the highest rate allowed by law, whichever is less, unless a lower amount is agreed to by Company.

The MSC charges are claims, damages and liabilities arising from the importation and/or exportation of Respondents' merchandise and/or the Respondents' conduct. Therefore, Respondents are obligated to indemnify, defend and hold SeaFair harmless from such claims,

damages, and liabilities. Respondents can do so by paying directly to MSC or pay SeaFair so that SeaFair can pay MSC.

D. Sterling Has the Right and the Obligation to Collect the Destination Charges from its Customers

Under Sterling's house bills of lading, Sterling has the right to collect the destination charges from its customers (who are shippers and consignees on Sterling's house bills of lading), and its customers have the obligation to pay these charges. SeaFair has been billed the destination charges by MSC that should be paid by Respondents and/or their customers. In accordance with the agreement between SeaFair and the Respondents, SeaFair attempted to collect the destination charges from the U.S. consignees and remit the monies collected for such charges to MSC. However, importantly, SeaFair has no privity of contract with Respondents' customers. Therefore, when Respondents' customers refused to pay SeaFair, SeaFair had no recourse but to bill Respondents. SeaFair was billed by MSC on Respondents' account, and it is the Respondents, not SeaFair, who have the right to collect from their customers.

Respondents are also obligated to pay MSC charges and collect the destination charges from their shippers¹ because otherwise it would be violating the Shipping Act by (1) knowingly and willfully obtaining or attempting to obtain ocean transportation for property at less than the rates or charges that would otherwise apply by unjust or unfair means (46 U.S.C. § 41102(a); (2)

¹ Shipper includes:

- (1) A cargo owner;
- (2) The person for whose account the ocean transportation is provided;
- (3) The person to whom delivery is to be made;
- (4) A shippers' association; or
- (5) A non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

See 46 CFR 515.2.

engaging in unfair practices in the matter of charges for service pursuant to a tariff (46 U.S.C. § 41104(a)(4)(A)); (3) providing services in the liner trade that are not in accordance with its published tariff (46 U.S.C. § 41104(a)(2)(A)); and (4) failing to establish, observe, and enforce just and reasonable practices related to the delivery of property as a common carrier (46 U.S.C. § 41102(c)).

E. Violation of 46 U.S.C. § 41102(a)

46 U.S.C. § 41102(a) reads in relevant part:

Obtaining Transportation at Less Than Applicable Rates.—

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

There is no genuine factual dispute concerning the relationship between the parties. SeaFair and Atlantic are both listed on the master bills in **Appendix 11** as agents of Sterling. Per MSC's bill of lading Terms and Conditions, Sterling is the merchant and MSC is the carrier. Under MSC's tariff and bill of lading terms and conditions, merchants on its bills of lading must pay destination charges. By not settling the MSC charges, Sterling and Atlantic have knowingly and willfully obtained ocean transportation for property at less than rates or charges that would otherwise apply. Therefore, Respondents have violated 46 U.S.C. § 41102(a).

F. Violation of 46 U.S.C. § 41104(a)(4)(A).

46 U.S.C. § 41104(a)(4)(A) provides that:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of ... rates or charges.

46 C.F.R. § 502.2 defines common carrier as:

... a person holding itself out to the general public to provide transportation by water of cargo between the United States and a foreign country for compensation that:

(1) Assumes responsibility for the transportation from port or point of receipt to the port or point of destination; and

(2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country, except that the term does not include a common carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel tanker or by a vessel when primarily engaged in the carriage of perishable agricultural commodities:

(i) If the common carrier and the owner of those commodities are wholly-owned, directly or indirectly, by a person primarily engaged in the marketing and distribution of those commodities and

(ii) Only with respect to the carriage of those commodities.

Sterling is a common carrier because it is a foreign Non-Vessel-Operating Common Carrier registered with FMC under no. 016481. As stated above, Sterling's Tariffs and Terms and Conditions establish that its merchants are to be liable to Sterling for services rendered on their behalf, including destination charges.

SeaFair rendered services for the benefit of Respondents and their merchants and incurred charges from MSC. When Respondents' merchants refused to pay, SeaFair turned to Sterling to indemnify it pursuant to SeaFair's Terms and Conditions of Service. Sterling refused. Sterling admitted that it has not collected or attempted to collect the destination charges from the Merchants. See Appendix 23 at SFOB-APP-23-0007-8. In their supplemental responses to SeaFair's interrogatories, Respondents even claimed that SeaFair was responsible for the MSC charges because SeaFair acted as the agent for Respondents' customers who are defined as "merchants" under the terms and conditions of Sterling's house bills of lading. See Appendix 24 at SFOB-APP-24-0005. This assertion lacks factual and legal support for two reasons. Firstly,

Atlantic and Sterling would have violated the Shipping Act and FMC regulations if they conducted U.S. trade without utilizing an FMC-licensed OTI such as SeaFair as their agent. Atlantic is a non-registered foreign OTI and Sterling is a foreign registered NVOCC. Pursuant to the Shipping Act and FMC regulations, SeaFair was serving as the agent for Sterling/Atlantic in their transactions in the U.S. trade. Secondly, the MSC bills of lading clearly identify SeaFair as “agent of Sterling Container Line Limited”, not as an agent of the party listed as the shipper or consignee on Sterling’s house bills. Therefore, as the evidence demonstrates, SeaFair rendered services on behalf of Respondents and their customers as a disclosed agent of the Respondents.

By not settling the MSC charges and not billing its customers for corresponding charges, Sterling and Atlantic have provided services to their non-paying customers at rates or charges lower than to customers who did pay destination charges. Sterling and Atlantic’s non-collection of destination charges is therefore unfair and unjustly discriminatory. Such unfair and unjustly discriminatory practice has occurred on a normal, customary, and continuous basis. The outstanding charges that Respondents refuse to pay span a period from July 2021 to the present. Therefore, Respondents have violated 46 U.S.C. § 41104(a)(4)(A).

G. Violation of 46 U.S.C. §41104(a)(2)(A)

46 U.S.C. §41104(a)(2)(A) provides:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...provide service in the liner trade that is...not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published...

Sterling is a common carrier. As stated above, Sterling’s Tariffs and Terms and Conditions establish that its merchants are to be liable to Sterling for services rendered on their behalf, including destination charges. By not settling the MSC charges and not billing its

customers for corresponding charges, Sterling and Atlantic have provided services to their customers at rates or charges lower than Sterling's tariff. Consequently, Respondents have violated 46 U.S.C. §41104(a)(2)(A).

H. Violation of 46 U.S.C. §41102(c)

46 U.S.C. §41102(c) reads as follows:

Practices in Handling Property.—

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

46 C.F.R. §545.4 provides interpretation for 46 U.S.C. §41102(c). It states:

Interpretation of Shipping Act of 1984—Unjust and unreasonable practices. 46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;*
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;*
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;*
- (d) The practice or regulation is unjust or unreasonable; and*
- (e) The practice or regulation is the proximate cause of the claimed loss.*

Sterling, a common carrier as explained above, utilized SeaFair's valuable services for document turnover and destination services, yet has repeatedly refused to compensate SeaFair for document turnover and to indemnify SeaFair in accordance with the terms of SeaFair's Terms and Conditions of Service. Given that Sterling's own tariffs and bill of lading terms and conditions specifically contemplate enforcement against the merchants for nonpayment, Sterling's continual refusal to recover from the merchants is an unjust and unreasonable practice connected with the delivery of property. Additionally, Sterling's refusal to compensate and indemnify SeaFair for services rendered is an unjust and unreasonable practice connected with the handling and delivery of property. Such unfair and unreasonable practice has occurred on a

normal, customary, and continuous basis. The outstanding charges that Respondents refuse to pay span a period from July 2021 to the present. Consequently, Sterling has violated 46 U.S.C. §41102(c).

I. SeaFair Has Suffered Actual Injury

SeaFair has suffered actual injury as a result of Respondents' violation of the Shipping Act. First, Respondents have refused to compensate SeaFair for handling 172 shipments, owing \$8,920 document turnover fees in the first claim and \$5,500 document turnover fees in the second claim. SeaFair has performed the services and should be compensated. SeaFair has been injured in the loss of revenue in the amount of \$14,420.

Second, under SeaFair's terms and conditions of service, when SeaFair has not been paid and has incurred liabilities as a result of the importation and exportation of Respondents' shipments or due to Respondents' conduct, SeaFair is entitled to indemnification by Respondents. Respondents' refusal to pay the MSC charges and document turnover fees proximately caused SeaFair to have incurred legal fees in making claims with Respondents' surety and in this instant lawsuit. The legal fees incurred by SeaFair constitute actual injury, entitling SeaFair to reparations. SeaFair is willing and able to elaborate on its claim for legal fees, but pursuant to the ALJ's Order on Motion to Amend the Complaint and the scheduling Order [Dkt. 23], SeaFair will discuss such claim when the ALJ's decision becomes final.

IV. CONCLUSION

In summary, Sterling has violated various provisions of the Shipping Act. SeaFair respectfully requests that the ALJ (1) find Sterling and Atlantic to cease and desist from their unjust and unreasonable practices in violation of 46 U.S.C. §41102(c), 46 U.S.C.

§41104(a)(4)(A), 46 U.S.C. §41104(a)(2)(A) and 46 C.F.R. §545.4; (2) assess a civil penalty of not less than \$25,000 pursuant to 46 U.S.C. § 41107; (3) order Sterling and Atlantic to cease and desist from violating 46 U.S.C. §41102(c), 46 U.S.C. §41104(a)(4)(A), 46 U.S.C. §41104(a)(2)(A); (4) order Respondents to settle the MSC charges directly with MSC or through paying SeaFair; (5) order Respondents to pay to SeaFair reparations for the unlawful conduct described above in the sum of not less than \$14,420.00, with interest and attorney's fees incurred in correcting the invoices subject to the first claim and second claim, as provided for under 46 U.S.C. § 41305(b).

Dated: July 28, 2023

Respectfully submitted,
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 28th day of July 2023, the foregoing Brief was served via electronic mail on:

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